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WEEK 4-1

SPORT MARKETING

SPM 261 · Introduction to Sport Management
Arcadia University

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MARKET MISCONCEPTION IT'S NOT WHAT YOU THINK.

- ✗ Sport marketing as 'selling sport goods and services'
- ✗ Sport marketing as 'designing the content and delivery of commercials'
- ✗ Sport marketing as 'arranging for athletes to attend a charity event'

Sport Marketing is more than selling, advertising and public relations, and community relations.

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“Sport marketing consists of all activities designed to meet the needs and wants of sport consumers through **exchange processes.”**

Mullin, Hardy, & Sutton, 2007, p. 11

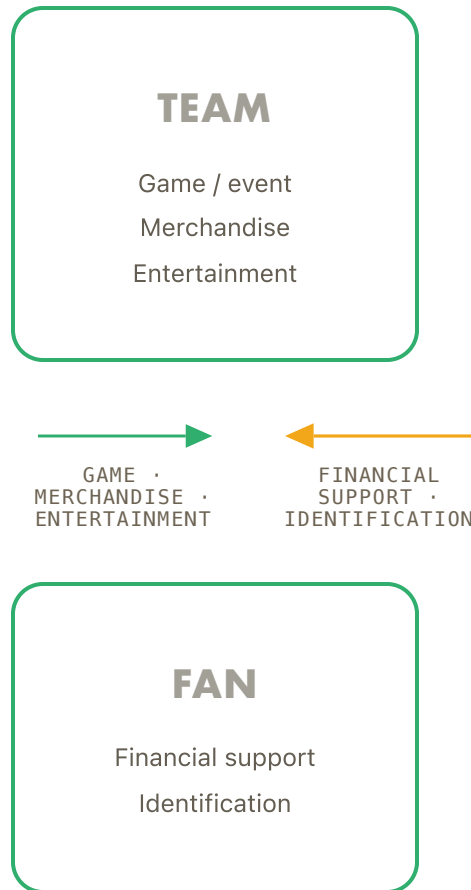
EXCHANGE THEORY

- (1) Two parties exchange resources
- (2) The resources offered by each party must be valued by the reciprocating partner



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EXCHANGE THEORY, ILLUSTRATED



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TEAM IDENTIFICATION?

'SENSE OF BELONGINGNESS TO A TEAM'

Loyal fans (= highly identified fans) are...

More likely to attend a team's game regardless of team performance

Less complaint

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IN-CLASS ACTIVITY

WHY DO WE IDENTIFY WITH A SPORT TEAM?

How do we know if an individual is highly identified with her or his favorite team?

Sport Spectator Identification Scale (SSIS; Wann & Branscombe, 1993)

FILL OUT THE SURVEY!!!

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SPORT SPECTATOR IDENTIFICATION SCALE (SSIS; WANN & BRANSCOMBE, 1993)

SEVEN ITEMS (1 TO 8)

What score did you get? Higher numbers represent greater levels of team ID.

< 18

A low level of identification

18–35

Moderately identified

> 35

A higher level of identification

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SUBMIT YOUR WORK

**UPLOAD YOUR COMPLETED SURVEY UNDER
MODULE 4 'IN CLASS ACTIVITY [SPORT
SPECTATOR IDENTIFICATION SCALE]'**

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MARKETING MIX

PRODUCT. PRICE. DISTRIBUTION.

Sport marketing involves product strategies, pricing decision, and distribution issues.

These activities are referred to as the marketing mix.

Sport marketing mix is defined as a set of elements that sport organizations use to satisfy consumers' needs.

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EXAMPLES OF MARKETING MIX ELEMENTS



- ① **Product** strategies
- ② **Place** strategies
- ③ **Pricing** strategies
- ④ **Promotion** strategies

*** Controllable factors the sports organization puts together to satisfy a target group

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(1) PRODUCT STRATEGIES

- Decisions regarding licensing, merchandising, branding, etc.
- Change of team logo.
- Developing services (concessions, parking, stadium seating, etc.)

(2) PLACE STRATEGIES

- How to deliver sport to spectators in the most effective and efficient way.
- Where to build a new stadium, how to distribute tickets, etc.
- Inventory management, warehousing, wholesaling, and retailing for sporting good stores.

(3) PRICING STRATEGIES

- Fees for personal seat licenses, pay-per view, price of tickets for sporting events

(4) PROMOTION STRATEGIES

- Sponsorship, advertising, sales promotions, personal selling, etc.

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THE MIX IN PRACTICE

SUPER BOWL 59 — CHIEFS VS. EAGLES

ELEMENT	EXAMPLE
Products	Event / Super Bowl 59 (Chiefs vs. Eagles)
Pricing	Ticket price / payout to each team
Place	A channel of distribution / Fox / on-line streaming / Caesars Superdome New Orleans
Promotion	Communication with consumers / advertising / sponsorship / sales promotions



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TWO MAJOR THRUSTS

Sport marketing has developed two major thrusts:

(1)

MARKETING OF SPORT

The marketing of sport products and services directly to consumers of sport.

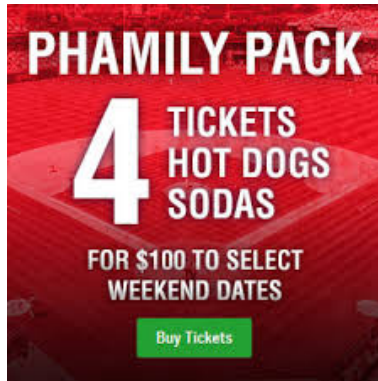
(2)

MARKETING THROUGH SPORT

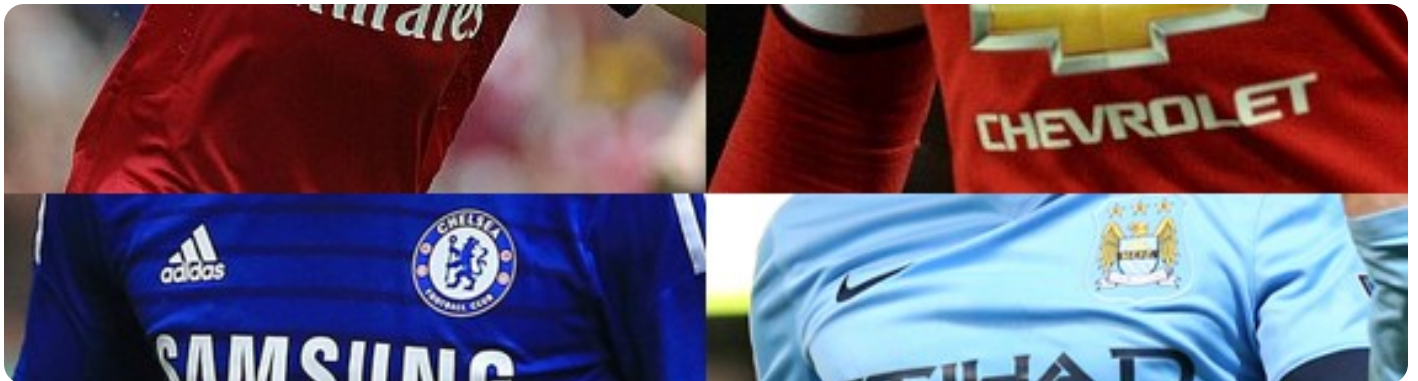
The marketing of other consumer and industrial products or services through the use of sport promotions.

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MARKETING OF SPORT



MARKETING THROUGH SPORT



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PART TWO

SPONSORSHIP

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“Investing in a sport entity (athlete, league, team, or event) to support overall organizational objectives, marketing goals, and promotional strategies.”

“The sponsorship investment may come in the form of ____ and ____”

Shank, 2004, p. 330

MONETARY

Cash

TRADE

In-kind

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SPORTS AS A POWERFUL MARKETING TOOL

SPORTS AS THE MOST POPULAR PROPERTY SECTOR



Sports	70%
Entertainment	10%
Causes	9%
Arts	4%
Festivals, Fairs & Annual Events	4%
Associations & Membership Orgs	3%

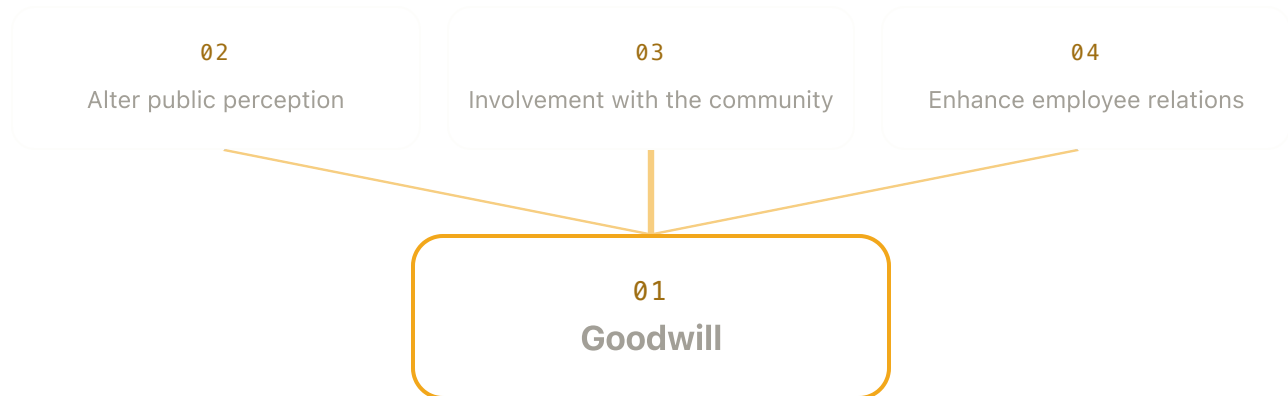
SECTOR	2016	2017	2018 (PROJ.)
Sports	\$15.7B	\$16.26B	\$17.05B
Entertainment	\$2.22B	\$2.29B	\$2.4B
Causes	\$1.99B	\$2.05B	\$2.14B
Arts	\$962M	\$993M	\$1.03B
Festivals & Annual Events	\$878M	\$903M	\$936M
Associations & Membership	\$604M	\$616M	\$635M

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SPORTS AS MORE THAN A MARKETING TOOL

CORPORATE-RELATED SPORT SPONSORSHIP OBJECTIVES



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CONGRUENCY / CONGRUENCE EFFECTS (RIFON, CHOI, TRIMBLE, & LI, 2004)

“Relatedness, Relevance, Compatibility, or Fit.”

FITS

Consumer Match

Functional Fit

Image Fit



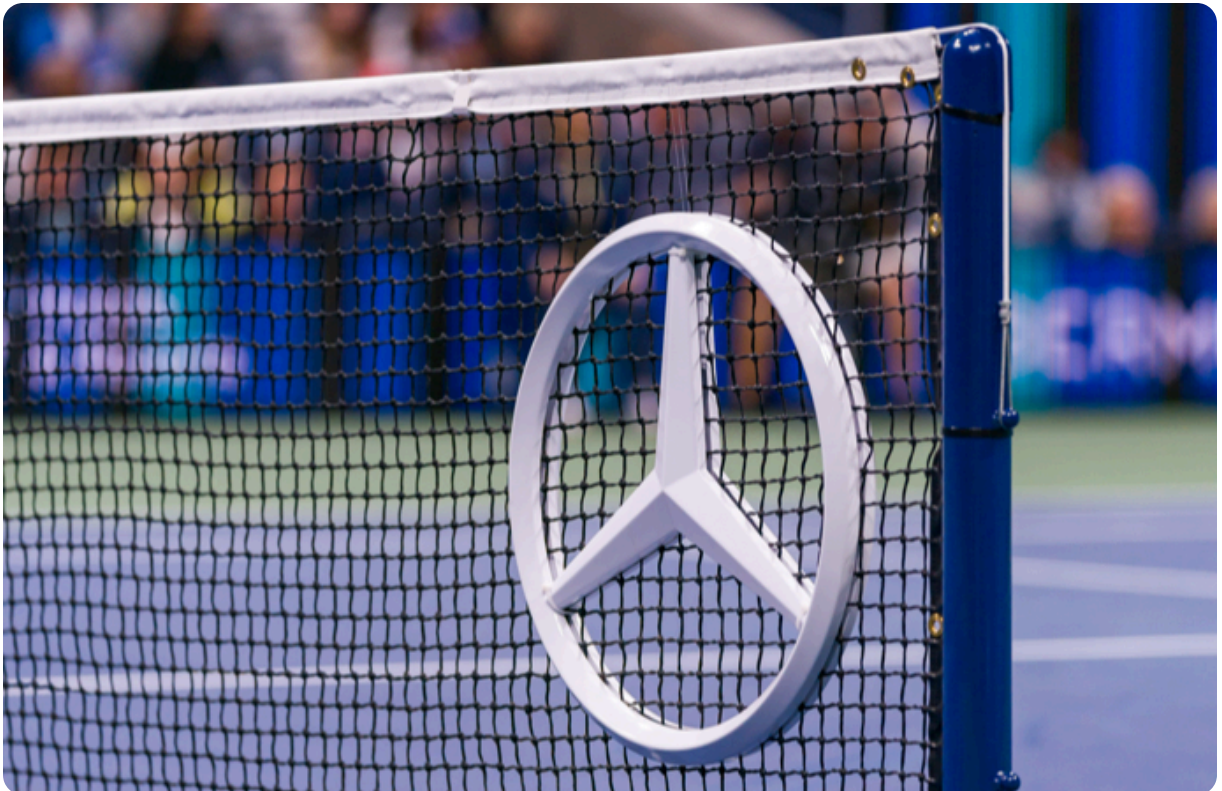
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CONSUMER MATCH

AN EVENT OR TEAM THAT A COMPANY SPONSORS SHARES THE SAME TARGET CONSUMERS

EX) MERCEDES-BENZ – THE US OPEN

Fans watching the US Open have a relatively high income, so Mercedes-Benz wanted to target those with the high income.



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FUNCTIONAL FIT

THE SPONSOR'S PRODUCT IS USED DURING THE EVENT BY PARTICIPANTS OR THE EVENT ORGANIZERS.

EX) WILSON – MLB

If Wilson is a sponsor of MLB and their baseball gloves are used by the players, then this is a functional fit.



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IMAGE FIT

A COMPANY IS LOOKING FOR AN IMAGE TRANSFER FROM THE EVENT OR TEAM THEY ARE SPONSORING.

Ex) Subway sandwich – Olympic athletes (e.g., healthy image)

Ex) Land Rover – US Ski & Snowboard (e.g., winter, strong SUV on snow image)

Ex) Coca-Cola – Olympics



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QUESTIONS?